



3 mas answer key - MAS

Strategic_Financial_Management (Unicaf University)



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MAS

1. The materials mix variance for a product is P450 unfavorable and the materials yield variance is P150 unfavorable. This means that
 - a. the materials price variance is P600 unfavorable.
 - b. the materials quantity variance is P600 unfavorable
 - c. the total materials cost variance is definitely P600 unfavorable.
 - d. the materials price variance is also unfavorable, but the amount cannot be determined from the given information.

ANSWER B

Mix variance Yield variance Quantity variance
 P450 U P150 U P600 U

2. Samson Company uses a standard costing system in the production of its only product. The 84,000 units of raw materials inventory were purchased for P126,000 and 4 units of raw materials are required to produce one unit of final product. In October, the company produced 14,400 units of product. The standard cost allowed for materials was P72,000, and there was an unfavorable usage variance of P3,000.

The materials price variance for the units used in October was

- a. P15,000 unfavorable.
- b. P15,000 favorable.
- c. P3,000 unfavorable.
- d. P3,000 favorable.

ANSWER A

Total standard cost P72,000
 ÷ Std qty for actual production (14,400 x 4) 57,600

Standard price per unit of materials P1.25

The usage variance is P3,000 unfavorable. The standard price is P1.25. Using the formula for Usage variance, the difference in quantity may be computed as follows:

Usage variance = Difference in quantity x Std. price

3,000 U = Difference in quantity x P1.25

Difference in quantity = 3,000 ÷ P1.25

= 2,400 unfavorable

If the difference in quantity is unfavorable, the actual quantity is greater than the standard quantity:

Standard quantity (14,400 x 4)	57,600
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Add unfavorable difference in quantity	<u>2,400</u>
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Actual quantity used	<u>60,000</u> units
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Price Variance = (AP – SP) x AQ

= ([P126,000 ÷ 84,000] – P1.25) x 60,000

= P15,000 unfavorable

3. Yamyam Company is considering introducing a new product that will require a P250,000 investment of capital. The necessary funds would be raised through a bank loan at an interest rate of 8%. The fixed operating costs associated with the product would be P122,500 while the variable cost ratio would be 58%. Assuming a selling price of P15 per unit, determine the number of units (rounded to the nearest whole unit) Yamyam would have to sell to generate earnings before interest and taxes (EBIT) of 32% of the amount of capital invested in the new product.
- | | |
|-----------------|-----------------|
| a. 35,318 units | c. 32,143 units |
| b. 25,575 units | d. 23,276 units |

ANSWER C

Fixed cost	P122,500
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Add desired profit (P250,000 x 32%)	<u>80,000</u>
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Total	P202,500
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÷ CM per unit [P15 x (100% - 58%)]	<u>6.30</u>
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Required sales in units	<u>32,143</u>
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A company is making plans for next year, using cost-volume-profit analysis as its planning tool.

Next year's sales data about its product are as follows:

Selling price	P60.00
Variable manufacturing costs per unit	22.50
Variable selling and administrative costs	4.50
Fixed operating costs (60% is manufacturing cost)	P148,500

32%

- ANSWER C**

5. Edil Company produces and sells a single product. The costs and selling prices on a per-unit basis are as follows:

Selling Price	P120
Materials	35
Labor	15
Variable overhead	10
Fixed overhead	10
Variable selling and administrative	20
Fixed selling and administrative	5

The company's expected margin of safety is

- ANSWER C**

Expected sales - units	20,000
Less break-even sales:	
Fixed costs (20,000 x [10 + 5])	P300,000

÷ Unit contribution margin	
(120 – [35 + 15 + 10 + 20]) P40	7,500
Margin of safety	12,500 units
Margin of safety in pesos (12,500 x P120)	<u>P1,500,000</u>
Margin of safety ratio (12,500 ÷ 20,000)	<u>62.5%</u>

6. Sam Company manufactures a single product. In the prior year, the company had sales of P90,000, variable costs of P50,000, and fixed costs of P30,000. Sam expects its cost structure and sales price per unit to remain the same in the current year, however total sales are expected to increase by 20 percent. If the current year projections are realized, net income should exceed the prior year's net income by:
- 100 percent.
 - 80 percent.
 - 20 percent.
 - 50 percent.

ANSWER B

Increase in profit (P40,000 x 20%)	P 8,000
÷ Present profit:	
Contribution margin	P40,000
Less fixed costs	<u>30,000</u>
	<u>10,000</u>
% change in profit	<u>80%</u>

7. Harry Manufacturing incurs annual fixed costs of P250,000 in producing and selling a single product. Estimated unit sales are 125,000. An after-tax income of P75,000 is desired by management. The company projects its income tax rate at 40 percent. What is the maximum amount that Harry can expend for variable costs per unit and still meet its profit objective if the sales price per unit is estimated at P6?
- P3.37
 - P3.59
 - P3.00
 - P3.70

ANSWER C

Projected sales (125,000 x P6)	P750,000
Less contribution margin:	
Income before tax (75,000/0.60)	P125,000
Add fixed cost	250,000
	375,000
Variable costs	P375,000
÷ number of units	125,000
Variable cost per unit	P3.00

Castelo, Villasin and Barrera is a large, local accounting firm located in Cebu. Belle Castelo, one of the Firm's founders, appreciates the success her firm has enjoyed and wants to give something back to her community. She believes that an inexpensive accounting services clinic could provide basic accounting services for small businesses located in the province. She wants to price the services at cost.

Since the clinic is brand new, it has no experience to go on. Belle decided to operate the clinic for two months before determining how much to charge per hour on an ongoing basis. As a temporary measure, the clinic adopted an hourly charge of P50, half the amount charged by Castelo, Villasin and Barrera for professional services.

The accounting services clinic opened on January 1. During January, the clinic had 120 hours of professional service. During February, the activity was 150 hours. Costs for these two level of activity usage are as follows:

Professional hours	<u>120 hours</u>	<u>150 hours</u>
Salaries:		
Senior accountant	P2,500	P2,500
Office assistant	1,200	1,200
Internet and software subscriptions	700	850
Consulting by senior partner	1,200	1,500
Depreciation (equipment)	2,400	2,400
Supplies	905	1,100
Administration	500	500
Rent (offices)	2,000	2,000
Utilities	332	365

8. The clinic's monthly fixed costs amount to:

- | | |
|-----------|------------|
| a. P8,600 | c. P 425 |
| b. P9,025 | d. P12,189 |

ANSWER B

Diff. in costs (P12,415 – P11,737) P 678

÷ diff. in hours (150 – 120) 30

Variable rate per hour P22.60

Total cost	P12,415	P11,737
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Less variable cost (22.60x150)	<u>3,390</u>	(22.60x120)	<u>2,712</u>
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Fixed costs	<u>P 9,025</u>	<u>P 9,025</u>
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9. If a firm's net income does **not** change as its volume changes, the firm('s)
- | | |
|-------------------------------------|---|
| a. must be in the service industry. | c. sales price must equal P0. |
| b. must have no fixed costs. | d. sales price must equal its variable costs. |

ANSWER D

10. HSR Computer System designs and develops specialized software for companies and use a normal costing system. The following data are available for 2015:

Budgeted

Overhead	P600,000
Machine hours	24,000
Direct labor hours	75,000

Actual

Units produced	100,000
Overhead	P603,500
Prime costs	P900,000
Machine hours	25,050
Direct labor hours	75,700

Overhead is applied on the basis of direct labor hours.

What is the unit cost for the year?

a. P15.03

c. P15.09

b. P15.06

d. P15.00

ANSWER B

Prime costs	P 900,000
Applied overhead (P600,000/75,000 DLH X 75,700)	605,600
Total cost	P1,505,600
÷ Units produced	100,000
Unit cost	P15.06

11. Hazelnut Company uses activity-based costing. The company produces two products: coats and hats. The annual production and sales volume of coats is 8,000 units and of hats is 6,000 units. There are three activity cost pools with the following expected activities and estimated total costs:

Activity Cost Pool	Estimated Cost	Expected Activity Coats	Expected Activity Hats	Total
Activity 1	P20,000	100	400	500
Activity 2	P37,000	800	200	1,000
Activity 3	P91,200	800	3,000	3,800

Using ABC, the cost per unit of coats is approximately:

a. P2.40

c. P 6.60

b. P3.90

d. P10.59

ANSWER C

Activity 1 (P20,000 x 100/500) 4,000
Activity 2 (P37,000 x 800/1,000) 29,600

Activity 3 (P91,200 x 800/3,800) 19,200

Total allocated cost P52,800

÷ number of units 8,000

Cost per unit P6.60

12. Balat Leather Works, which manufactures saddles and other leather goods, has three departments. The Assembly Department manufactures various leather products, such as belts, purses, and saddle bags, using automated production process. The Saddle Department produces handmade saddles and uses very little machinery. The Tanning Department produces leather. The tanning process requires little in the way of labor or machinery, but it does require space and process time. Due to the different production processes in the three departments, the company uses three different cost drivers for the application of manufacturing overhead. The cost drivers and overhead rates are as follows:

	<u>Cost Driver</u>	<u>Predetermined Overhead Rate</u>
Tanning Department	Square-feet of leather	P3 per square-foot
Assembly Department	Machine time	P9 per machine hour
Saddle Department	Direct-labor time	P4 per direct labor hour

The company's deluxe saddle and accessory set consists of handmade saddle, two saddlebags, a belt, and a vest, all coordinated to match. The entire set uses 100 square-feet of leather from the Tanning Department, 3 machine hours in the Assembly Department, and 40 direct-labor hours in the Saddle Department. The company is processing Job No. 20 consisting of 20 deluxe saddle and accessory sets.

How much is the applied manufacturing overhead in the Assembly Department for Job No. 20?

- a. P3,200
- b. P 540
- c. P6,000
- d. P3,000

ANSWER B

Assembly department = P9/machine hour x 3 machine hours x 20 sets = P540

13. If activity-based costing is implemented in an organization without any other changes being effected, total overhead costs will
- a. be reduced because of the elimination of non-value-added activities.
 - b. be reduced because organizational costs will not be assigned to products or services.
 - c. be increased because of the need for additional people to gather information on cost drivers and cost pools.
 - d. remain constant and simply be spread over products differently.

ANSWER D

14. For its most recent fiscal year, a firm reported that its contribution margin was equal to 40 percent of sales and that its net income amounted to 10 percent of sales. If its fixed costs for the year were P60,000, how much was the margin of safety?
- a. P150,000
 - b. P200,000
 - c. P600,000
 - d. P 50,000

ANSWER D

Let S = Sales; $CM = 0.40S$; $NY = 0.10S$
 Fixed Cost = $(0.40S - 0.10S) = 0.30S$

Sales ($P60,000 \div 0.30$)	P200,000
Less breakeven sales ($P60,000 \div 0.40$)	150,000
Margin of safety	<u>P 50,000</u>

Vhong, Inc. evaluates manufacturing overhead in its factory by using variance analysis. The following information applies to the month of July:

	<u>ACTUAL</u>	<u>BUDGETED</u>
Number of units produced	19,000	20,000
Variable overhead costs	P4,100	P2 per direct labor hour
Fixed overhead costs	P22,000	P20,000
Direct labor hours	2,100	0.1 hour per unit

15. The controllable variance amounts to

- | | |
|-----------------------|-----------------------|
| a. P2,500 unfavorable | c. P2,300 unfavorable |
| b. P1,000 unfavorable | d. P2,000 unfavorable |

ANSWER C

16. Using the three-way variance analysis, the spending variance amounts to

- | | |
|-----------------------|-----------------------|
| a. P100 favorable | c. P2,000 unfavorable |
| b. P1,900 unfavorable | d. P2,100 unfavorable |

ANSWER B

17. The efficiency variance amounts to

- a. P400 unfavorable
- b. P1,900 unfavorable
- c. P400 favorable
- d. P1,000 unfavorable

ANSWER A

18. The non-controllable variance is

- a. P2,300 unfavorable
- b. P400 unfavorable
- c. P2,000 unfavorable
- d. P1,000 unfavorable

ANSWER D

19. The fixed overhead efficiency variance is:

- a. P400 unfavorable
- b. PP2,000 unfavorable
- c. P400 favorable
- d. 0

ANSWER D

20. A basic tenet of variable costing is that period costs should be currently expensed. What is the rationale behind this procedure?

- a. Period costs are uncontrollable and should not be charged to a specific product.
- b. Period costs are generally immaterial in amount and the cost of assigning the amounts to specific products would outweigh the benefits.
- c. Allocation of period costs is arbitrary at best and could lead to erroneous decision by management.
- d. Because period costs will occur whether production occurs, it is improper to allocate these costs to production and defer a current cost of doing business.

ANSWER D

21. The following information regarding fixed production costs from a manufacturing firm is available for the current year:

Fixed costs in the beginning inventory	P16,000
Fixed costs incurred this period	100,000

Which of the following statements is **not true**?

- a. The maximum amount of fixed production costs that this firm could deduct using absorption costs in the current year is P116,000.

- b. The maximum difference between this firm's the current year income based on absorption costing and its income based on variable costing is P16,000.
- c. Using variable costing, this firm will deduct no more than P16,000 for fixed production costs.
- d. If this firm produced substantially more units than it sold in the current year, variable costing will probably yield a lower income than absorption costing.

ANSWER C

22. Absorption costing differs from variable costing in all of the following **except**

- a. treatment of fixed manufacturing overhead.
- b. treatment of variable production costs.
- c. acceptability for external reporting.
- d. arrangement of the income statement

ANSWER B

23. If a firm produces more units than it sells, absorption costing, relative to variable costing, will result in

- a. higher income and assets.
- b. higher income but lower assets.
- c. lower income but higher assets.
- d. lower income and assets.

ANSWER A

24. How will a favorable volume variance affect net income under each of the following methods?

Absorption	Variable
a. reduce	no effect
b. reduce	increase
c. increase	no effect
d. increase	reduce

ANSWER C

25. Ning Company has only 25,000 hours of machine time each month to manufacture its two products. Product X has a contribution margin of P50, and Product Y has a contribution margin of P64. Product X requires 5 hours of machine time, and Product Y requires 8 hours of machine time. If Ning Company wants to dedicate 80 percent of its machine time to the product that will provide the most income, the company will have a total contribution margin of

- a. P250,000.
- b. P240,000.
- c. P210,000.
- d. P200,000.

ANSWER B

	Product X	Product Y
CM per unit	P 50	P 64

÷ hours per unit CM per hour	5	8
	P 10	P 8

80% of capacity must be applied to Product X, the product with the higher CM per hour.

Product X (25,000 x 80%) ÷ 5 = 4,000 units x P50	P 200,000
Product Y (25,000 x 20%) ÷ 8 = 625 units x P64	<u>40,000</u>
Total contribution margin	<u>P240,000</u>

26. The opportunity cost of making a component part in a factory with excess capacity for which there is no alternative use is
- the total manufacturing cost of the component.
 - the total variable cost of the component.
 - the fixed manufacturing cost of the component.
 - zero.

ANSWER D

27. Spikey Company produces two products: Pat and Chin. The projected income for the coming year, segmented by product line, follow:

	Pat	Chin	
Total			
Sales	P300,000	P2,500,000	P2,800,000
Less variable expenses	<u>100,000</u>	<u>500,000</u>	<u>600,000</u>
Contribution margin	P200,000	P2,000,000	P2,200,000
Less direct fixed expenses	<u>28,000</u>	<u>1,500,000</u>	<u>1,528,000</u>
Product margin	<u>P172,000</u>	<u>P 500,000</u>	P 672,000
Less common fixed cost			<u>100,000</u>
Operating income			<u>P 572,000</u>

The selling prices are P30 for Pat and P50 for Chin.

Spikey company can increase the sales of Pat with increased advertising. The extra advertising would cost an additional P245,000, and some of the potential purchasers of Chin would switch

to Pat. In total, sales of Pat would increase by 25,000 units, and sales of Chin would decrease by 5,000 units. This strategy would

- a. increase Spikey's total sales by P750,000.
- b. decrease Spikey's total contribution margin by P300,000.
- c. increase Spikey's total income by P55,000.
- d. not affect Spikey's total fixed costs.

ANSWER C

	<u>PAT</u>	<u>CHIN</u>
Cont. margin	P200,000	P2,000,000
÷ units (P300k ÷ P30)	10,000	50,000
CM per unit	P 20	P 40
X change in units	25,000	(5,000)
Change in CM	P500,000	(P200,000)
Increase in CM (P500k – P200K)	P300,000	
Less incremental fixed cost	245,000	
Increase in profit	P 55,000	

Ricky Ironworks is considering a proposal to sell an existing lathe and purchase a new computer-operated lathe. Information on the existing lathe and the computer-operated lathe follow:

	<u>Existing Lathe</u>	<u>Computer-operated Lathe</u>
Cost	P100,000	P300,000
Accumulated depreciation	60,000	0
Salvage value now	20,000	
Salvage value in 4 years	0	60,000
Annual depreciation	10,000	75,000
Annual cash operating costs	200,000	50,000
Remaining useful life	4 years	4 years

28. What is the payback period for the computer-operated lathe?

- a. 1.87 years
- b. 2.00 years
- c. 3.53 years
- d. 3.29 years

Answer A

Acquisition cost, new lathe	P300,000
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Less salvage value of old lathe	Net cost of investment	20,000
		P280,000
÷ savings in cash operating costs (P50,000 – P200,000)		150,000
Payback period		1.87 years

29. If the company uses 10 percent as its discount rate, what is the net present value of the proposed new lathe purchase? (Round present value factors to four decimal places)
- P236,465
 - P256,465
 - P195,485
 - P30,422

Answer A

Present value of cost savings (P150,000 x 3.1699)	P475,485
Present value of salvage value (P60,000 x 0.6830)	40,980
Total PV of cash inflows	P516,465
Less net cost of investment	280,000
Net present value	<u>P236,465</u>

30. RPI Corporation bought a piece of machinery. Selected data is presented below:

Useful life	6 years
Yearly net cash inflow	P45,000
Salvage value	- 0 -
Internal rate of return	18%
Cost of capital	14%

The initial cost of the machinery was (round present value factor to four decimal places)

- P157,392.
- P174,992.
- P165,812.
- impossible to determine from the information given.

ANSWER A

Yearly net cash inflow	P45,000
x PVF, 18% for 6 years	3.4976

Initial cost of the machine P157,392

31. All other factors equal, a large number is preferred to a smaller number for all capital project evaluation measures **except**
- net present value.
 - payback period.
 - internal rate of return.
 - profitability index.

ANSWER B

32. Tanya Corporation issued preferred stocks for P120 per share. The issue price is P20 more than the stock's par value. The company incurred underwriting fees of P10 per share. The stocks will earn annual dividends of P12 per share. If the tax rate is 30%, the cost of capital (preferred stocks) is
- 10%
 - 7.42%

b. 12%

d. 10.91%

ANSWER D

$$\frac{\text{Cost of Preferred Stocks}}{\text{Net DPS}} = \frac{\text{P120} - \text{P10}}{\text{issuance price}} = \frac{10.91\%}{1\%}$$

33. Harry owns a computer reselling business and is expanding his business. Harry is presented with one proposal, Proposal P1, such that the estimated investment for the expansion project is P85,000 and it is expected to produce cash flows after taxes of P25,000 for each of the next 6 years. An alternate proposal, Proposal P2, involves an investment of P32,000 and after-tax cash flows of P10,000 for each of the next 6 years. The present value factors for an annuity of P1 for 1 to 6 years are as follows:

n	10%	12%	14%	16%	18%	20%
1	0.909	0.893	0.877	0.862	0.847	0.833
2	1.736	1.690	1.647	1.605	1.566	1.528
3	2.487	2.402	2.322	2.246	2.174	2.106
4	3.170	3.037	2.914	2.798	2.690	2.589
5	3.791	3.605	3.433	3.274	3.127	2.991
6	4.355	4.111	3.889	3.685	3.498	3.326

The cost of capital that would make Harry indifferent between these two proposals lies between

- a. 10% and 12%
b. 14% and 16%
c. 16% and 18%
d. 18% and 20%

ANSWER C

Indifference point is when the NPVs of the two proposals are equal.

Let x = present value factor for a cost of capital for 6 years

$$85,000 - 25,000x = 32,000 - 10,000x$$

$$x = 3.533, \text{ which is between } 16\% \text{ and } 18\%$$

34. Harold Co. is considering an investment in a capital project. The sole outlay will be P716,417.90 at the outset of the project and the annual net after-tax cash inflow will be P216,309.75 for 6 years. The present value factors at Harold's 8% cost of capital are:

Year	PV Factors
1	0.926
2	0.857
3	0.794
4	0.735
5	0.681
6	0.630

What is the break-even time (BET)?

- a. 3.31 years
- b. 4.00 years
- c. 5.00 years
- d. 6.00 years

ANSWER B

Break-even time: the cumulative present value of cash inflows equals the cost of investment

	<i>Cash Inflows</i>	<i>x</i>	<i>PVF</i>	<i>=</i>	<i>P</i> <i>V</i>
1	216,309.75		0.926		P200,302.83
2	216,309.75		0.857		185,377.46
3	216,309.75		0.794		171,749.94
4	216,309.75		0.735		158,987.67
5	216,309.75		0.681		147,306.94

Total PV of cash inflows, first 4 years = P716,417.90__

Break even time = 4 years

61. BSR Co, has an opportunity to purchase a new conveyor line for P250,000. They can borrow P200,000, paying P50,000 down with annual payments for five years and an interest of 15%. They also have an opportunity to lease the line for P65,000 a year. The present value of an annuity of P1 for five years at 9% and 15% are 3.8897 and 3.3522, respectively. At the end of five years, the estimated salvage value is P40,000. If owned, the cost of maintenance is expected to be P10,000 per year. Assume straight-line depreciation, a 40% tax rate, a cost of debt of 15%, and a cost of capital of 9%.

What is the present value of the after-tax cost of leasing for the five-year period?

- a. P151,698
- b. P 98,698
- c. P144,000
- d. P165,800

ANSWER A

Annual lease expense, net of tax (P65,000 x 60%) x PVF, 9%, 5 years	P 39,000
Present value of the after-tax cost of leasing	3.8897
	P151,698

35. The projected sales price for a new product (which is still in the development stage of the product life cycle) is P50. The company has estimated the life-cycle cost to be P30 and the first-year cost to be P60. On this type of product, the company requires a P12 per unit profit. What is the target cost of the new product?

- a. P60
- b. P30
- c. P38
- d. P43

ANSWER C

Projected sales price Less required profit
P50
12

Target cost P38

36. At the end of 2015, Gabbuat Company's total assets was P500,000. In 2016, it earned net income of P30,000 and paid dividends of P10,000. What is the company's internal growth rate?

- a. 1% c. 5%
- b. 4% d. 9%

ANSWER B

Internal growth rate is the percentage increase in assets kept in business.

Increase in assets (P30,000 – P10,000)	P 20,000
÷ Total assets, beginning of 200B Internal growth rate	÷500,000
	4%

37. As of the end of 2015, Ice Company had total assets of P375,000 and equity of P206,250. For 2016, its budget for capital investment projects is P62,500. To finance a portion of the capital budget, the company may borrow from a bank which set a condition that the loan would be approved, provided that the 2016's debt-to-equity ratio should be the same as the debt-to-equity ratio in 2015.

How much debt should be incurred to satisfy the bank's condition?

- a. P28,125 c. P34,375
- b. P62,500 d. P51,138

ANSWER A

Total assets	P375,000
Less equity	<u>206,250</u>
Debt	<u>P168,750</u>

Debt-to-Equity Ratio (P168,750 ÷ P206,250)81.82%

*Total financing required for the capital budgetP62,500

	<u>÷181.82%</u>
Amount to be financed by equity	<u>P34,375</u>

Amount to be financed by debt without changing

the debt-to-equity ratio (P62,500 – P34,375) P28,125

38. Using the data presented below, calculate the cost of sales for the Alpha Corporation for the year just ended.

Current ratio	3.5
Acid test ratio	3.0
Current liabilities at year-end	P600,000
Beginning inventory	P500,000
Inventory turnover	8.0

- | | |
|---------------|---------------|
| a. P1,600,000 | c. P3,200,000 |
| b. P2,400,000 | d. P6,400,000 |

ANSWER C

Cost of sales = Average inventory x Inventory turnover

$$= \frac{P500,000 + P300,000^*}{2} \times 8$$

$$= P3,200,000$$

$$* \text{ Current ratio} = \frac{\text{Current assets}}{\text{Current liabilities}}$$

$$3.50 = \frac{\text{Current assets}}{600,000} \quad \text{Current assets} = 2,100,000$$

$$\text{Acid-test ratio} = \frac{\text{Quick assets}}{\text{Current liabilities}}$$

$$3.00 = \frac{\text{Quick assets}}{600,000}$$

$$\text{Quick assets} = 1,800,000$$

$$\text{Inventory, ending} = 300,000$$

39. Which of the following is necessary for any valid performance measurement?
- It must be part of the financial accounting system in use.
 - It must be quantifiable.
 - Goal congruence must be promoted by its use.
 - It must be financial in nature.

ANSWER C

40. A balanced scorecard
- records the variances between budgeted and actual revenues and expenses.
 - can be used at multiple organizational levels by redefining the categories and measurements.
 - is most concerned with organizational financial solvency and business processes.
 - all of the above.

ANSWER B

41. Productivity is measured by the
- total quantity of output generated from a limited amount of input during a time period.
 - quantity of good output generated from a specific amount of input during a time period.
 - quantity of good output generated from the quantity of good input used during a time period.
 - total quantity of input used to generate total quantity of output for a time period.

ANSWER B

42. Failure Corporation is a manufacturer of a versatile statistical calculator. The following information is a summary of defective and returned units for the previous year.

Total defective units	1,000
Number of units reworked	750
Number of customer units returned	150

Profit for a good unit	P40
Profit for a defective unit	P25
Cost to rework a defective unit	P10
Cost of a returned unit	P15
Total prevention cost	P10,000
Total appraisal cost	P5,000

The total quality cost is

- | | |
|-------------|-------------|
| a. P15,000. | c. P28,500. |
| b. P15,750. | d. P11,250. |

ANSWER C

Failure costs:

Rework cost (750 units x P10)	P7,500
Returned units (150 x P15)	2,250
Not reworked (250 units x P15)	3,750P13,500
Prevention costs	10,000
Appraisal cost	5,000
Total quality costs	P28,500

Computer Solutions Corporation manufactures and sells various high-tech office automation products. Two divisions of Computer Solutions Corporation are the Computer Chip Division and the Computer Division. The Computer Chip Division manufactures one product, a "super chip," that can be used by both the Computer Division and other external customers. The following information is available on this month's operations in the Computer Chip Division:

Selling price per chip	P50	
Variable costs per chip	P20	
Fixed production costs	P60,000	
Fixed SG&A costs	P90,000	
Monthly capacity	10,000	chips
External sales	6,000	chips
Internal sales	0	chips

Presently, the Computer Division purchases no chips from the Computer Chips Division, but instead pays P45 to an external supplier for the 4,000 chips it needs each month.

43. Assume, for this question only, that the Computer Chip Division is selling all that it can produce to external buyers for P50 per unit. How would overall corporate profits be affected if it sells 4,000 units to the Computer Division at P45? (Assume that the Computer Division can purchase the super chip from an outside supplier for P45.)

- | | |
|---------------------|---------------------|
| a. no effect | c. P20,000 decrease |
| b. P20,000 increase | d. P90,000 increase |

ANSWER C

Purchase price	P45
Cost if purchased from within:	
Variable cost	P20
Opportunity cost	30 50
Loss per unit	P 5
x number of units	4,000
Decrease in profit	<u>P20,000</u>

44. The following year-end data pertain to Adan Corporation:

Earning before interest and taxes	P 800,000
Current assets	800,000
Non-current assets	3,200,000
Current liabilities	400,000
Non-current liabilities	1,000,000

Adan Corporation pays an income tax rate of 32%. Its weighted-average cost of capital is 10%. What is Adan Corporation's Economic Value Added (EVA)?

- | | |
|-------------|-------------|
| a. P184,000 | c. P440,000 |
| b. P144,000 | d. P400,000 |

ANSWER A

After-tax operating income ($P800,000 \times [1 - 0.32]$)	P544,000
Less desired return on investment:	
Total assets ($P800,000 + P3,200,000$)	P4,000,000
Less current liabilities	<u>400,000</u>
Investment base	P3,600,000
x Weighted-average cost of capital	<u>10% 360,000</u>
Economic value added	<u>P184,000</u>

Based on the given data, the expected payoffs are:

Sell *halo-halo* ($15,000 \times 60\%$) + ($6,000 \times 40\%$) P11,400

Sell *mami* ($11,400 \times 60\%$) + ($12,000 \times 40\%$) 11,640

Therefore, despite the fact that the weather is hot, the canteen should sell *mami* because it has the higher expected value or expected payoff.

45. Mr. Javee owns a piece of land that is adjacent to a big area of a vacant lot owned by the city government. Recently, Mr. Javee heard that the city government has plans about the vacant lot. He inquired about such plans and he was given the following, including each plan's probability of occurrence:

	<u>Probability</u>
Plan A – Lease the lot to a businessman who will construct a mall on the lot	60%
B – Construct a theme park on the vacant lot	30%
C – Construct a building that will house some of the city government's offices	10%

Mr. Javee knows that the value of his land, which he acquired ten years ago at a cost of only P500 per square meter, will increase depending on which plan would materialize. His estimates are as follows:

Plan A – P5,000 per square meter

B – 2,000

C – 1,000

What is the expected value of the land?

- | | |
|-----------|-----------|
| a. P5,000 | c. P2,667 |
| b. P3,000 | d. P3,700 |

ANSWER D

Plan A	P5,000 x 60%	=	P3,000
B	2,000 x 30%	=	600
C	1,000 x 10%	=	<u>100</u>
Expected value			<u>P3,700</u> per square meter

46. Bahalana Company produces and sells Product Z. Each unit of Product Z contributes P5 to the recovery of fixed costs and generation of profit. Total fixed costs amounts to P200,000 per period. Selling price of Product Z is P20 per unit.

For the coming period, the company believes that there is a 70% chance that the sales of Product Z will be 80,000 units, and a 30% chance that sales will equal 10,000 units. The expected profit from Product Z for the coming period is:

- | | |
|-------------|-------------|
| a. P 95,000 | c. P 80,000 |
| b. P250,000 | d. P295,000 |

ANSWER A

Expected value of sales volume:			
80,000 x 70%	56,000		
10,000 x 30%	<u>3,000</u>	59,000	
X CM per unit		<u>5</u>	

Total CM	P295,000
Less fixed costs	<u>200,000</u>
Expected profit	<u>P 95,000</u>

47. Engagements should be adequately planned, supervised, and controlled. Controlling involves the measurement of progress in attaining the engagement plan and objectives. At significant engagement points, progress should be measured in terms of
- time schedule, accomplishments, and quality of work.
 - accomplishments, time schedule, and expenses incurred.
 - quality of work, number of reports prepared, and time schedule.
 - accomplishments, number of personnel who played a role in the engagement, and attendance of the participants in the engagement.

ANSWER A

48. Which of the following statements is false?
- Management accounting is an integral part of the controller's function in an organization.
 - The Standard of Ethical Conduct for Management Accountants include concepts related to competence, confidentiality, integrity, and objectivity.
 - Modern cost accounting plays a role in planning new products, evaluating operational procedures, and controlling costs.
 - The COO (Chief Operating Officer) is primarily responsible for management accounting and financial accounting.

ANSWER D

49. Management accounting is considered successful when it
- helps managers improve their decisions.
 - is in accordance with GAAP.
 - is relevant.
 - is accurate.

ANSWER A

50. Electronic Fund Transfer (EFT) is a service provided by financial institutions worldwide that is based on EDI Technology. EFT transaction costs are lower than for manual systems because documents and human intervention are eliminated from the transaction process. However, the EFT system has inherent and unique risks, one of which is
- unauthorized access and activity.
 - inadequate disaster recovery procedures.
 - insufficient online edit checks.
 - improper change control procedures.

ANSWER A

51. Which of the following descriptions refers to management accounting information?
- It is prepared for shareholders.
 - It is reliable and verifiable.

- c. It is prepared in accordance with GAAP.
- d. It provides reasonable and timely estimates

ANSWER D

52. Which of the following is a not a characteristic of management accounting?

- a. Internal focus
- b. Broad-based and multidisciplinary
- c. Subjective information may be used
- d. Historical orientation

ANSWER D

53. In national income terms, aggregate demand is the

- a. demand for money by a community in a period of full employment.
- b. total expenditure on capital goods by entrepreneurs during a period of full employment.
- c. demand that is needed if the country's economy is to operate at optimum level and the level of investment is to be raised.
- d. total expenditures on consumer goods and investment, including government and foreign expenditures, during a given period.

ANSWER D

54. Gross domestic product (GDP) is the

- a. total amount of expenditures for consumer goods and investment for a period of time.
- b. total purchases by consumers, businesses, government, and foreign entities
- c. value of all final goods and services produced by the country by both domestic and foreign-owned sources.
- d. value of all goods and services produced by the country by domestic firms, excluding those produced by foreign-owned companies.

ANSWER C

55. As the economy becomes more and more depressed, a company's management decides to slash spending on research and development. What is the likely effect of this action on net income? Net income will be

- a. higher this period and lower in future periods.
- b. higher this period and higher in future periods.
- c. lower this period and higher in future periods.
- d. lower this period and lower in future periods.

ANSWER A

56. Inflation can have positive and negative effects on an economy. Positive effects of inflation include

- a. loss in stability in the real value of money and other monetary items over time.
- b. uncertainty about future inflation may discourage investment and saving.

- c. shortages of goods if consumers begin hoarding in anticipation of price increases in the future.
- d. mitigation of economic recessions and debt relief by reducing the real level of debt.

ANSWER D

57. The local video store's business increased by 12% after the movie theater raised its prices from P300 to P400. Thus, relative to movie theater admissions, videos are
- a. substitute goods
 - b. superior goods
 - c. complementary goods
 - d. public goods

ANSWER A

58. Which of the following characteristics distinguishes computer processing from manual processing?
- a. Computer processing virtually eliminates the occurrence of computational error normally associated with manual processing.
 - b. Errors or fraud in computer processing will be detected soon after their occurrences.
 - c. The potential for systematic error is ordinarily greater in manual processing than in computerized processing.
 - d. Most computer systems are designed so that transaction trails useful for audit purposes do not exist.

ANSWER A

59. What type of computer system is characterized by data that are assembled from more than one location and records that are updated immediately?
- a. Microcomputer system
 - b. Minicomputer system
 - c. Batch processing system
 - d. Online real-time system

ANSWER D

60. A major accounting contribution to the managerial decision-making process in evaluating possible courses of action is to
- a. decide which actions the management should consider.
 - b. determine the amount of money that should be spent on a project.
 - c. assign responsibility for the decision.
 - d. provide relevant revenue and cost data about each course of action.

ANSWER D